MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) FOUTH SEMESTER EXAMINATION

(2024 ADMISION ONWARDS)

Model Question Paper MG4DSCCOM200 – CORPORATE ACCOUNTING

Duration: 2 hr **Maximum Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Section A
(Very Short Questions)
Answer any 12 out of 14 questions. Each question carries 1 Marks

1. Ind AS 101 deals with _____(Understand)(CO1)
2. The unpaid amount of called-up capital is known as ____(Understand) (CO2)
3. In case of pro-rata allotment, the excess money on application is first adjusted against _____ due (Understand) (CO2)
4. A company invited applications for 5,000 shares but received applications for 6,000 shares. Application money ₹3 per share. Excess was refunded. Pass the entry. (Apply) CO2)
5. The method used for scientific price discovery in an IPO is called ____(Understand)(CO2)
6. Distribution of accumulated profits in the form of shares is called _____(Understand) (CO2)
7. The two sources of redemption of preference shares are ___ and ___(Understand) (CO2)
8. List out any 2 items shown in Employee Benefit Expenses (Understand)(CO3)
9. Debentures are shown under which head while preparing balance sheet (Understand)(CO3)
10. Name the three types of cash flows shown in a cash flow statement? (Understand)(CO4)
11. Cash Flow Statement is prepared in accordance with _____Ind AS (Understand)(CO4)
12. Conversion of shares of smaller denomination into shares of larger denomination is called .....Understand) (CO6)
13. A company reduces the value of equity shares from ₹10 to ₹5. What is the Journal Entry? (Apply)(CO6)
14. Reduction of share capital is governed by Section _____ of the Companies Act, 2013 (understand)(CO6)

Section B
(Short Answer)
Answer any 4 out of 6 questions. Each question carries 7 Marks

15. What are the conditions for redemption of preference shares (Understand)(CO2)
16. Illustrate with your example prepare the following notes to accounts
    a) Revenue from operations b.) other income c) Employee benefit expenses
    (Understand)(CO3)

17. Ajanta Ltd. offered for public subscription 20,000 equity shares of ₹10 each at a premium of ₹2 per share. The amount payable was as follows: ₹4 per share on application, ₹4 per share on allotment (including premium), and the balance in two equal instalments of ₹2 each on first call and second and final call. The issue was fully subscribed and all the amounts due were received in full. Pass the necessary journal entries in the books of the company.(Apply)(CO2)

18. Adani Power Ltd has 2,00,000 equity shares of Rs. 10 each fully paid up. It is resolved to issue fully paid-up bonus shares in the ratio of one share for every five shares held and decided to give a right to buy one share for Rs. 12 for every two shares held. The company has a Capital Redemption Reserve of Rs. 2,00,000, Securities Premium balance of 2,50,000, and P and L A/c balance of Rs. 1,00,000. Market value of one share is Rs.20. Give the journal entries of the bonus issue and calculate the value of the right. (Apply)(CO2)

19. From the following information, prepare changes in Equity of Surya Ltd

Particulars	31.03.20X1	31.03.20X0
Equity share capital (Fully paid shares of ₹ 10 each)	12,00,000	10,00,000
6% preference share capital (fully paid preference shares of ₹ 100 each redeemable at par)	3,00,000	2,00,000
Capital reserve	20,000	20,000
Securities premium	80,000	70,000
Capital Redemption reserve	Nil	1,00,000
Revaluation reserve	Nil	20,000
Retained earnings	6,00,000	4,00,000

An interim dividend @ 10% was paid on the opening capital ₹ 10,00,000 on 20th October 20X1. (Apply)(CO3)

20. Following scheme of reconstruction has been approved by ABC Ltd.
    1. The shareholders to receive in lieu of their present holdings of 1,20,000 shares of ₹ 10 each the following: a)Fully paid up ordinary shares ₹ 10 each, ₹ 5 paid up equal to 1/3rd of their holdings. b)15% preference shares of ₹ 100 each equal to ½ the amount of the above new ordinary shares .c)₹ 3, 00,000, 16 % debentures. of ₹ 100 each
    2. The Goodwill which stood at ₹ 4, 00,000 was written down to ₹ 2, 50,000 and machinery was reduced by ₹ 60,000.
    3. ₹ 70,000 in the debit balance of profit and loss account was written off and the balance in the capital reduction was transferred to capital Reserve Account. Give journal entries in the books of the company necessitated by the above reconstruction (Apply)(CO6)

4*7=28

Section C
(Essay Questions)
Answer any 2 out of 3 questions. Each question carries 15 Marks

21. The following ledger balances of Leaf Ltd as on 31.03.20XX

Debit Balances	₹	Credit balances	₹
Opening inventory	50,000	Equity share capital (30,000 shares of ₹ 10 each)	3,00,000
Purchases of stock in trade	1,50,000	General reserve	25,000
Wages	12,000	Surplus A/c	20,000
Salaries	20,000	8% debentures	1,00,000
Office expenses	5,000	10% Bank Laon	60,000
Debtors	66,000	Revenue from operations	2,50,000
Bills receivables	20,000	Creditors	30,000
Furniture	30,000	Bills payable	4,000

Plant & Machinery	3,00,000		
Audit fees	3,000		
Investment in shares of Fruit Ltd	1,00,000		
Interest on debentures	8,000		
Interest on bank loan	6,000		
Cash at bank	14,000		
Cash in hand	5,000		
	7,89,000		7,89,000

Adjustments

1. Closing inventory ₹ 43,000
2. Provision for taxation @ 30%
3. Transfer to general reserve ₹ 3,000
4. Depreciation on machinery @ 5%

Prepare final accounts of Leaf Ltd as per Schedule III of the Companies Act 2013.

(Apply)(CO3,CO5)

22.The following details are available from a company.

(Rs. In lakhs)

	31-03-20x1	31-03-20x0
I. EQUITY AND LIABILITIES		
Shareholders Funds		
Share Capital	74,000	70,000
Reserves and Surplus	10,560	10,040
Non-Current Liabilities	-	-
Debentures	6,000	12,000
Current Liabilities	-	-
Trade Payable	11,840	10,360
Short Term Provisions	800	700
Total	1,03,200	1,03,100
II. ASSETS	-	-
Tangible	30,000	20,000
Intangible	5,000	10,000
Current Assets	-	-
Inventories	42,700	49,200
Trade Receivable	17,700	14,900
Cash and Cash Equivalent	7,800	9,000
Total	1,03,200	1,03,100

In addition, you are given :

(a) Dividend paid total Rs. 3,500.

(b) Land was purchased for Rs. 10,000. Amount provided for amortization of goodwill Rs. 5,000.

(c) Debentures paid off Rs. 6,000. Prepare Cash Flow Statement. (Apply)(CO4,CO5)

23. Following is the balance sheet of God Ltd. as at 31-3-20x0

Particulars	Note No	Amount
I Equity and Liabilities		
1.Shareholders Fund:		
a)Share capital		
6,000 Equity shares of Rs. 100 Each fully paid		6,00,000
3,000 15%% preference shares of Rs. 100 each		3,00,000
b)Reserves and surplus		
Profit and Loss account		(3,50,000)
Preliminary expense		(10000)
2.Share application money pending allotment		
3.Non current liabilities		
6% debentures		1,50,000
4.Current liabilities		
Sundry creditors		75,000
Bank Over draft		1,50,000
Total		9,15,000
II Assets		
1)Non Current Assets		
Buildings		3,00,000
Machinery		4,50,000
Goodwill		22,500
2)Current assets		
Inventories		65,000
Cash		7,500
Debtors		70,000
Total		9,15,000

On the above date company adopted the following scheme of reconstruction:

i)The preference shares are to be reduced to fully paid shares of Rs.70 each and equity shares are to be reduced to shares of Rs, 40 each fully paid

ii) The debentures holders took over the stock and debtors in full satisfaction of their claims

iii) The fictitious and intangible assets are to be eliminated

iv) The land & building to be appreciated by 40% and Machinery to be depreciated by 30%

v) Expenses of reconstruction amounted to Rs. 3,500

Give Journal entries and prepare reconstructed Balance sheet (Apply)(CO6,CO5)